

MIDTERM EXAMINATION
Spring 2009
MGT411- Money & Banking (Session - 2)
Solved By
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Time: 60 min
Marks: 50

Question No: 1 (Marks: 1) - Please choose one

Wider the range of outcomes wider will be the _____.

► **Risk**

- Cost
- Probability
- Loss

Reference: Page 34

The wider the range of outcomes the greater the risk

Question No: 2 (Marks: 1) - Please choose one

Which of the following statement is true?

► Increasing the FV by any percentage will change the PV by same percentage in opposite direction

► **Increasing the FV by any percentage will change the PV by same percentage in same direction**

- Increasing the FV by any percentage will not change the PV by any percentage
- None of the given options

Reference:

Page 23 Lesson 9

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Question No: 3 (Marks: 1) - Please choose one

The fact that a financial intermediary can use the same contract for many customers is an example of:

- Economies of Scope
- The Law of Diminishing Marginal Returns
- The Law of Increasing Opportunity Cost

► **Economies of Scale**

Reference: page 70

Much of what financial intermediaries do takes advantage of economies of scale.

Question No: 4 (Marks: 1) - Please choose one

You start with a \$1000 portfolio; it loses 40% over the next year, the following year it gains 50% in value; At the end of two years the worth of your portfolio will be:

Note: Solve these papers by yourself

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▶ **\$900**

▶ \$600

▶ \$1000

▶ \$1100

Reference:

1st year loss = $1000 \times 40/100 = 400$

= $1000 - 400$

= 600

2nd year gain = $600 \times 50/100 = 300$

= $600 + 300 = 900$

Question No: 5 (Marks: 1) - Please choose one

An index number is a valuable tool because:

▶ The number by itself provides all of the useful information needed

▶ ***The index provides a meaningful measurement scale to calculate percentage changes***

▶ The index is more stable than the data it reflects

▶ It does not require any calculations to compute percentage changes

Question No: 6 (Marks: 1) - Please choose one

The risk premium of a bond will:

▶ Higher for investment-grade bonds than for high-yield bonds

▶ Positive but small if the risk of default is zero

▶ Decrease when the default risk rises

▶ ***Increase when the risk of default rises***

Question No: 7 (Marks: 1) - Please choose one

The expectations theory of the term structure assumes:

▶ ***Buyers of bonds consider bonds of different maturities to be perfect substitutes***

▶ Markets for different maturity bonds are completely separate

▶ Buyers of bonds prefer bonds with shorter maturities

▶ Buyers of bonds prefer bonds with longer maturities

Reference:

<http://sy.zlge.org/Upload/20070920110410765.doc>

Question#8

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Question No: 8 (Marks: 1) - Please choose one

The liquidity premium theory suggests that yield curves should usually be:

▶ ***Up-sloping***

▶ Inverted

▶ Flat

▶ Up-sloping through year 1, then flat thereafter

Reference: Page 59

Note: Solve these papers by yourself
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The yield curve's upward slope is due to long-term bonds being riskier than short-term bonds

Question No: 9 (Marks: 1) - Please choose one

Which of the following statement is true about two bonds having same default rate and tax status but different maturity dates?

- ▶ It creates no effect on yield of bonds
- ▶ ***Both of them have different yield***
- ▶ Liquidity risk factor should be taken into consideration
- ▶ It is impossible that default risk and tax status of two bonds are same

Reference:

Students Choice in Group mail

Question No: 10 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ ***Because only interest income they receive from bond is taxable***
- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ Because bond holders are taxpayers
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

Reference: page 55

Bondholders must pay income tax on the interest income they receive from privately issued bonds (taxable bonds), but government bonds are treated differently

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Question No: 11 (Marks: 1) - Please choose one

Which of the following patterns of term structure occur most frequently?

- ▶ Ascending yield curve
- ▶ Descending yield curve
- ▶ ***Flat yield curve***
- ▶ Humped yield curve

Reference:

We assume that interest rate is constant here

Question No: 12 (Marks: 1) - Please choose one

Mr. Ali has a bond, which is issued by local government of Punjab which is *NOT* true for situation?

- ▶ He faces tax affects on return on bond
- ▶ His bond can also be named as municipal bond
- ▶ ***He receive interest on that bond throughout life period of bond***
- ▶ Default risk affects its return on bond

Reference:

Page 55

Question No: 13 (Marks: 1) - Please choose one

The _____ are an assessment of the creditworthiness of the corporate issuer.

- ▶ Bond yield
- ▶ **Bond ratings**
- ▶ Bond risk
- ▶ Bond price

Reference:

Page 52

Question No: 14 (Marks: 1) - Please choose one

Which one of the following agencies assesses the default risk of different issuers?

- ▶ Insurance companies
- ▶ Bond issuing
- ▶ **Credit rating**
- ▶ Recruitment agencies

Reference:

Page 52

Question No: 15 (Marks: 1) - Please choose one

What is the true relationship that exists between default risk and yield?

- ▶ **Higher the default risk, higher the yield**
- ▶ Lower the default risk, higher the yield
- ▶ Higher the default risk yield will remain constant
- ▶ Lower the default risk yield will remain constant

Reference: page 51

The higher the default risk the higher the probability that bondholders will not receive the promised payments and thus, the higher the yield.

Question No: 16 (Marks: 1) - Please choose one

If YTM is greater than the coupon rate the price of the bond is _____.

- ▶ Greater than its face value
- ▶ **Lower than its face value**
- ▶ Equals to its face value
- ▶ Insufficient information is given

Reference: page 42

If the yield is greater than the coupon rate, the price is lower;

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Question No: 17 (Marks: 1) - Please choose one

The current yield on a \$10,000, 5% coupon bond selling for \$8,000 is:

- ▶ **6.25%**
- ▶ 7.50%

Note: Solve these papers by yourself
This VU Group is not responsible for any solved content

- ▶ 8.00%
- ▶ 5.00%

Reference:

Current yield = coupon payment/ price

5% of 10000 = 500

Current yield = 500 / 8000

Current yield = $0.0625 \times 100 = 6.25$

Question No: 18 (Marks: 1) - Please choose one

The coupon rate of bond:

- ▶ Is another term for the current yield
- ▶ Is another term for the yield to maturity
- ▶ Could not be calculated for a zero-coupon bond
- ▶ None of the given options

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Question No: 19 (Marks: 1) - Please choose one

If the annual interest rate is 6% (.06); the price of a one year Treasury bill would be:

- ▶ \$94.00
- ▶ **\$94.33**
- ▶ \$95.25
- ▶ \$96.10

Reference:

$100/106 = 0.9433 \times 100 = 94.33\%$

Question No: 20 (Marks: 1) - Please choose one

Which of the following best expresses the formula for determining the price of a U.S. Treasury bill per \$100 of face value?

- ▶ $\$100(1 + i)$
- ▶ **$\$100 / (1 + i)^n$**
- ▶ $\$100 / (1 + i)$
- ▶ $1 + \$100 / (1 + i)^n$

Reference:

Page 29

Question No: 21 (Marks: 1) - Please choose one

A zero coupon bond:

- ▶ Does not pay any coupon payments because the issuer is in default
- ▶ Pays coupons only once a year versus the usual twice a year
- ▶ Promises a single future payment
- ▶ **Pays coupons only if the bond price is below face value**

Note: Solve these papers by yourself
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Reference: page 40

Zero-Coupon Bonds

□ These are pure discount bonds since they sell at a price below their face value

Question No: 22 (Marks: 1) - Please choose one

For a \$1000 one year discount bond with a price of \$975, the yield to maturity is which of the following?

▶ $\$975/\1000

▶ $(\$1000 - \$975)/\$975$

▶ $(\$1000 - \$975)/(\$1000)$

▶ $\$1000/\975

Question No: 23 (Marks: 1) - Please choose one

Which of the following statement is NOT true for consols?

▶ Consol offers only periodic interest payments

▶ Borrower never repays the principal

▶ ***There are Government and as well as private consols***

▶ Price of a consol is the present value of all the future interest payments

Reference:

Page 42

Question No: 24 (Marks: 1) - Please choose one

Mr. A has a Treasury bill with a maturity period of 6 months where as Mr. B has a bond with a maturity period of 1 year. Which of the following statement is NOT true for this situation?

▶ Mr. A has paid less price for his bond than Mr. B

▶ ***Mr. A and Mr. B is a holder of zero coupon bond***

▶ Mr. A will receive payment at the end of the maturity period

▶ Mr. B will receive the payment at the end of the maturity period

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Question No: 25 (Marks: 1) - Please choose one

What is true about the relationship between standard deviation and risk?

▶ ***Greater the standard deviation greater will be the risk***

▶ Greater the standard deviation lower will be the risk

▶ Greater the standard deviation risk will be remained the same

▶ No relation between them

Reference: page 35

The greater the standard deviation, the higher the risk

Question No: 26 (Marks: 1) - Please choose one

The real interest rate is:

▶ ***The nominal rate plus the expected inflation rate***

▶ The nominal rate minus the expected inflation rate

Note: Solve these papers by yourself

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- ▶ The nominal interest rate divided by the Consumer Price Index
- ▶ The product of the nominal rate and the Consumer Price Index

Reference: page 30

The Fisher equation tells us that the nominal interest rate is equal to the real interest rate plus the expected rate of inflation

Question No: 27 (Marks: 1) - Please choose one

The interest rate that is involved in _____ calculation is referred to as discount rate

▶ **Present value**

- ▶ Future value
- ▶ Intrinsic value
- ▶ Discount value

Reference: page 27

The interest rate used in the present value calculation is often referred to as the discount rate because the calculation involves discounting or reducing future payments to their equivalent value today

Question No: 28 (Marks: 1) - Please choose one

If the factor time (n) is longer then:

▶ **Present value will be lower**

- ▶ Present value will be higher
- ▶ Interest rate will be lower
- ▶ Time has no effect on present value

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Question No: 29 (Marks: 1) - Please choose one

Asma deposits funds into a CD account at her bank. The CD account has an annual interest of 4.0%. If Asma leaves the funds in the CD account for entire two years she will have \$1081.60. What amount is Asma depositing?

- ▶ \$960.60
- ▶ \$900.00
- ▶ \$1005.00
- ▶ **\$1000.00**

Reference:

$$PV = FV / (1+i)^n$$

$$PV = 1081.60 / (1+.04)^2$$

$$PV = 1081.60 / (1.04)^2$$

$$PV = 1081.61 / 1.0816$$

$$PV = 1000$$

Question No: 30 (Marks: 1) - Please choose one

Bonds that are issued by Government are called _____.

- ▶ Government bonds

Note: Solve these papers by yourself
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► **Treasury bonds**

- Corporate bonds
- Callable bonds

Question No: 31 (Marks: 1) - Please choose one

Risk sharing is the characteristic of which one of the following?

- Checks
- Checking accounts
- Money

► **Bonds**

Question No: 32 (Marks: 1) - Please choose one

Which one of the following represents the main purpose for which the secondary markets are made?

- Small investors who don't have an access to new securities
- **Primary market is not enough for buying and selling of securities**
- Large investors usually traded in these markets
- Prices in the secondary markets are known to investors

Reference:

Primary vs. Secondary Markets

- ☐ In a primary market a borrower obtains funds from a lender by selling newly issued securities.
- ☐ Most companies use an investment bank, which will determine a price and then purchase the company's securities in preparation for resale to clients; this is called underwriting.
- ☐ In the secondary markets people can buy and sell existing securities

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Question No: 33 (Marks: 1) - Please choose one

_____ are the economies central nervous system.

- Financial Instruments
- **Financial Markets**
- Financial Institutions
- Financial Companies

Reference:

Financial markets as a nervous system

The global economy is a complex system where financial markets are the nervous system that disseminates signals. From our every day experience with complex systems – our human body is such a system – we are aware that minor deficiencies can have a disproportionate impact. Financial market conventions may appear as petty details of execution and therefore irrelevant, but in actual fact the subtleties of execution have a big macroeconomic impact

Question No: 34 (Marks: 1) - Please choose one

All of the following are the components of M_2 EXCEPT?

- ▶ M_1
- ▶ Saving deposits
- ▶ **Travelers cheques**
- ▶ Mutual funds shares

Reference:

M_2

M_1 + small time deposits, savings deposits,
money market mutual funds, money market deposit accounts

Question No: 35 (Marks: 1) - Please choose one

Banks use to handle transactions among themselves, through which one of the following?

- ▶ Debit card
- ▶ **Electronic transfers**
- ▶ Credit card
- ▶ Store value card

Reference:

Electronic Funds Transfer

- ☐ Move funds directly from one account to another.
- ☐ Banks use these transfers to handle transactions among themselves

Question No: 36 (Marks: 1) - Please choose one

Among the following which one is less liquid asset?

- ▶ Checking account
- ▶ **Car**
- ▶ Share
- ▶ Debit card

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Question No: 37 (Marks: 1) - Please choose one

For the valuation of goods and for quoting prices under the barter system the general formula which is used for n goods is _____.

- ▶ $n(n+1)/2$
- ▶ $n(n-1)*2$
- ▶ **$n(n-1)/2$**
- ▶ $(n-1)/2$

Reference: page 7

Under barter the general formula for n goods, we will have $n(n-1)/2$ prices

Question No: 38 (Marks: 1) - Please choose one

_____ are organized to eliminate the need of costly information gathering.

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- ▶ Central banks
- ▶ Commercial banks
- ▶ **Stock exchanges**
- ▶ Insurance companies

Reference: page 3

Stock exchanges are organized to eliminate the need for costly information gathering and thus facilitate the exchange of securities

Question No: 39 (Marks: 1) - Please choose one

Banks usually offer lower rates of interest to people willing to keep their funds in the bank for a short time because:

- ▶ Banks really do not want these people as customers
- ▶ Banks really do not want a lot of people coming into the bank
- ▶ **Banks realize that time has value**
- ▶ All of the given options

Question No: 40 (Marks: 1) - Please choose one

Stock exchange is an example of:

- ▶ Financial companies
- ▶ Financial institution
- ▶ **Financial market**
- ▶ Bank

Reference:

Page 2

MIDTERM EXAMINATION

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Spring 2009

MGT411- Money & Banking (Session - 2)

Solved By

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Question No: 1 (Marks: 1) - Please choose one

Which of the following are without maturity dates?

- ▶ Zero coupon bonds
- ▶ Coupon securities
- ▶ **Consols**
- ▶ Preferred Bonds

Reference: page 40

Consols

☐ Make periodic interest payments forever, never repaying the principal that was borrowed.

Question No: 2 (Marks: 1) - Please choose one

Note: Solve these papers by yourself
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Which of the following institution takes direct deposit from customer and gives loan to customer directly?

- ▶ Zarai Tarkaytee Bank LTD
- ▶ Soneri Bank
- ▶ Khushali Bank
- ▶ **Credit union**

Question No: 3 (Marks: 1) - Please choose one

Mr. Ghazanfar obtains a home improvement loan from Allied Bank. This loan is:

- ▶ Mr. Ghazanfar's asset and the bank's liability
- ▶ **Mr. Ghazanfar 's asset, but the liability belongs to the bank's depositors**
- ▶ Mr. Ghazanfar 's liability and an asset for the bank
- ▶ Both Mr. Ghazanfar's and bank's liability

Reference: page 14

If someone borrows money to buy a car, the car becomes his or her asset and the loan a liability

Question No: 4 (Marks: 1) - Please choose one

Components of M_1 **DO NOT** include which one of the following?

- ▶ Currency in the hands of public
- ▶ Demand deposits
- ▶ **Small denominations time deposit**
- ▶ Checkable deposits

Reference:

Page 11

Question No: 5 (Marks: 1) - Please choose one

Which of the following has created an opportunity for small investors to participate in economic activity?

- ▶ **Mutual funds**
- ▶ Small corporations
- ▶ Stock brokers
- ▶ Small investors cannot take part in economic activity

Reference:

Page 2

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Question No: 6 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of financial institutions?

- ▶ Bank
- ▶ **Securities firm**
- ▶ Stock exchange
- ▶ Insurance company

Reference:

Page 2

Note: Solve these papers by yourself
This VU Group is not responsible for any solved content

Question No: 7 (Marks: 1) - Please choose one

Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

- ▶ Free-riding
- ▶ **Moral hazard**
- ▶ Adverse selection
- ▶ The Lemons market

Reference:

Page 73

Question No: 8 (Marks: 1) - Please choose one

In a financial market where information is symmetric:

- ▶ **The same information would be known by both parties in a transaction**
- ▶ One party to a transaction knows information the other party does not
- ▶ The ability to obtain information is available to only one party
- ▶ All of the given options

Question No: 9 (Marks: 1) - Please choose one

When stock prices reflect fundamental values:

- ▶ All investors will experience capital gains
- ▶ All companies will have an easier task of obtaining financing for investment projects
- ▶ **The allocation of resources will be more efficient**
- ▶ The overall level of the stock market should move higher continuously

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Question No: 10 (Marks: 1) - Please choose one

An index number is a valuable tool because:

- ▶ The number by itself provides all of the useful information needed
- ▶ **The index provides a meaningful measurement scale to calculate percentage changes**
- ▶ The index is more stable than the data it reflects
- ▶ It does not require any calculations to compute percentage changes

Question No: 11 (Marks: 1) - Please choose one

The concept of limited liability says a **stockholder** of a corporation:

- ▶ Is liable for the corporation's liabilities, but nothing more
- ▶ Cannot receive dividends that exceed their investment
- ▶ Cannot own more than five percent of any public corporation
- ▶ **Cannot lose more than their investment**

Note: Solve these papers by yourself
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Reference:

Page 60

Question No: 12 (Marks: 1) - Please choose one

Other things remaining equal, the liquidity premium theory is based upon the idea that

- ▶ Investors prefer long-term bonds
- ▶ **Investors prefer short-term bonds**
- ▶ Investors are indifferent between short-term and long-term bonds
- ▶ Investors prefer intermediate-term bonds

Reference:

Page 59

Question No: 13 (Marks: 1) - Please choose one

Which one of the following is **NOT** true for the expectation hypothesis?

- ▶ Risk free interest rate can be computed
- ▶ **There is uncertainty in the future**
- ▶ Identifying yield of bond today that will be available next year
- ▶ It focuses on risk free interest rate and the risk premium

Reference:

Expectations Hypothesis

The risk-free interest rate can be computed, assuming that there is no uncertainty about the future

Question No: 14 (Marks: 1) - Please choose one

A graph of the term structure with YTM on Y-axis and time to maturity on X-axis is called:

- ▶ Demand curve
- ▶ Supply curve
- ▶ **Yield curve**
- ▶ Leffer curve

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Question No: 15 (Marks: 1) - Please choose one

	Bond A	Bond B
Maturity	5 years	10 years
Default risk	5%	5%
Tax rate	30%	30%
Yield	?	?

See the above table and choose the one option which is **NOT** correct about the yield of Bond A and Bond B?

▶ **Bond tax status and default rate are not the only factors that affect the yield of the two bonds**

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- ▶ Bond A has different yield from that of Bond B because of change in maturity period
- ▶ Yields of both the bonds are not disturbed by maturity period
- ▶ Yield of Bond B depends on what people expect to happen in years to come

Question No: 16 (Marks: 1) - Please choose one

The _____ are an assessment of the creditworthiness of the corporate issuer.

- ▶ Bond yield
- ▶ **Bond ratings**
- ▶ Bond risk
- ▶ Bond price

Reference:
Page 52

Question No: 17 (Marks: 1) - Please choose one

The bond rating of a security refers to which of the followings?

- ▶ The size of the coupon payment relative to the face value
- ▶ The return a holder is likely to receive
- ▶ **The likelihood the lender/borrower will be repaid by the borrower/issuer**
- ▶ The years until the bond matures

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Question No: 18 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond demand to the _____

- ▶ Right
- ▶ **Left**
- ▶ No change
- ▶ None of the given options

Reference: page 47

A fall in expected inflation shifts the bond demand curve to the right, increasing demand at each price and lowering the yield and increasing the Bond's price

A rise in expected inflation shifts the bond demand curve to the left.

Question No: 19 (Marks: 1) - Please choose one

The current yield on a \$10,000, 5% coupon bond selling for \$8,000 is:

- ▶ **6.25%**
- ▶ 7.50%
- ▶ 8.00%
- ▶ 5.00%

Reference:

Current yield = coupon payment/ price

5% of 10000 = 500

Current yield = 500 / 8000

Note: Solve these papers by yourself
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Current yield = $0.0625 \times 100 = 6.25$

Question No: 20 (Marks: 1) - Please choose one

If the annual interest rate is 6% (.06); the price of a one year Treasury bill would be:

- ▶ \$94.00
- ▶ **\$94.33**
- ▶ \$95.25
- ▶ \$96.10

Reference:

$100/106 = 0.9433 \times 100 = 94.33\%$

Question No: 21 (Marks: 1) - Please choose one

The return on holding a bond till its maturity is called:

- ▶ Coupon rate
- ▶ **Yield to maturity**
- ▶ Current yield
- ▶ Fixed return

Reference: page 42

The most useful measure of the return on holding a bond is called the yield to maturity (YTM)

Question No: 22 (Marks: 1) - Please choose one

Which of the following best describes the relationship between Bond prices and yields?

- ▶ Move together directly
- ▶ Independent of each other
- ▶ **Move together inversely**
- ▶ Bond yields do not change since the coupon is fixed

Reference:

Page 44

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Question No: 23 (Marks: 1) - Please choose one

Mr. A has a Treasury bill with a maturity period of 6 months where as Mr. B has a bond with a maturity period of 1 year. Which of the following statement is **NOT** true for this situation?

- ▶ Mr. A has paid less price for his bond than Mr. B
- ▶ **Mr. A and Mr. B is a holder of zero coupon bond**
- ▶ Mr. A will receive payment at the end of the maturity period
- ▶ Mr. B will receive the payment at the end of the maturity period

Question No: 24 (Marks: 1) - Please choose one

What is true relationship between return and risk?

- ▶ Lower the risk greater the return

Note: Solve these papers by yourself

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► **Greater the risk greater the return**

- Greater the risk no change in return
- No relationship between them

Question No: 25 (Marks: 1) - Please choose one

Sum of all the probabilities should be equal to which one of the following?

- Zero
- **One**
- Two
- Three

Reference: page 32

The sum of the probabilities of all the possible outcomes must be 1, since one of the possible outcomes must occur (we just don't know which one)

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Question No: 26 (Marks: 1) - Please choose one

_____ measures the probability of worst outcome in any investment project.

- Variance
- Standard deviation
- **Value at risk**
- Hedging

Reference: page 35

Sometimes we are less concerned with the spread of possible outcomes than we are with the value of the worst outcome

Question No: 27 (Marks: 1) - Please choose one

The variance is generally less useful than the standard deviation on which of the following reasons?

- Variance is easier to calculate
- Variance is a measure of risk, whereas standard deviation is a measure of return
- **Variance isn't calculated in the same units as payoffs where as standard deviation is**

- Both are equally useful

Reference:

Page 35

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Question No: 28 (Marks: 1) - Please choose one

A credit market instrument that pays the owner a fixed coupon payment every year until the maturity date and then repays the face value is called:

- Simple loan
- Fixed-payment loan
- **Coupon bond**
- Discount bond

Reference:

Note: Solve these papers by yourself
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<https://www.msu.edu/course/ec/330/201/practice%20exam1.doc>

Question#51

Question No: 29 (Marks: 1) - Please choose one

Which of the following provides the greatest incentive to borrow?

- ▶ A high real interest rate
- ▶ **A low real interest rate**
- ▶ A high nominal interest rate
- ▶ A low nominal interest rate

Question No: 30 (Marks: 1) - Please choose one

An investment carrying a current cost of \$130,000 is going to generate \$70,000 of revenue for each of the next three years. To calculate the internal rate of return we need to:

- ▶ Calculate the present value of each of the \$70,000 payments and multiply these and set this equal to \$130,000
- ▶ Take the present value of \$210,000 for three years from now and set this equal to \$130,000

▶ **Set the sum of the present value of \$70,000 for each of the next three years equal to \$130,000**

- ▶ Subtract \$130,000 from \$210,000 and set this difference equal to the interest rate

Reference: page 27

The Internal Rate of Return is the interest rate that equates the present value of an investment with its cost.

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Question No: 31 (Marks: 1) - Please choose one

A borrower is promised a \$100 payment (including interest) one year from today. If the lender has an 8% opportunity cost of money, he should be willing to accept what amount today?

- ▶ Rs.100.00
- ▶ Rs.108.20
- ▶ **Rs.92.59**
- ▶ Rs.96.40

Reference:

$$PV = FV / (1+i)^n$$

$$PV = 100 / (1+.08)^1$$

$$PV = 92.59$$

Question No: 32 (Marks: 1) - Please choose one

Which one of the following is NOT an example of Centralized exchange?

- ▶ New York Stock Exchange
- ▶ NASDAQ
- ▶ **Large exchanges in London(doubted)**

Note: Solve these papers by yourself

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- ▶ Large exchanges in Tokyo

Reference:

Confuse options....all are exchanges according to this link
http://en.wikipedia.org/wiki/Stock_exchange

Question No: 33 (Marks: 1) - Please choose one

Financial intermediaries provide small lender-savers all of the following advantages

EXCEPT:

- ▶ **Greater liquidity**
- ▶ Lower transaction cost
- ▶ Lower risk
- ▶ Higher return

Reference:

Lesson 21

Question No: 34 (Marks: 1) - Please choose one

The shares of McDonald Corporation stock are examples of:

- ▶ **A standardized financial instrument**
- ▶ A standardized financial liability instrument
- ▶ A non-standardized financial instrument
- ▶ A means of payment

Question No: 35 (Marks: 1) - Please choose one

Which of the following statements is **NOT** correct?

- ▶ Banks are financial intermediaries
- ▶ Financial intermediary involves in giving loan and accepting deposit
- ▶ **All financial intermediaries are insurance companies**
- ▶ Financial intermediaries increase the efficiency of the economy

Reference: page 20

They sit between savers and borrowers and so are known as financial intermediaries.

☐ Banks, insurance companies, securities firms and pension funds

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Question No: 36 (Marks: 1) - Please choose one

Economic research shows:

- ▶ There is a strong inverse correlation between financial market development and economic growth
- ▶ There is weak relation between financial market development and economic growth around 0.25
- ▶ **There is a relatively strong positive correlation between financial market development and economic growth**
- ▶ There isn't any correlation between financial market development and economic growth

Note: Solve these papers by yourself
This VU Group is not responsible for any solved content

Reference:

Page 14 = **Figure: Financial and Economic Development**

Question No: 37 (Marks: 1) - Please choose one

Which of the following statements is correct?

▶ If you can buy the same goods this year as you bought last year with less money the money supply decreased.

▶ **To purchase the same goods today that were purchased one year ago requires more money, there must have been inflation(doubted)**

▶ To purchase the same goods today as one year ago requires less money, the money supply must have increased

▶ To purchase the same goods today that were purchased one year ago requires the same amount of money, there must have been inflation

Question No: 38 (Marks: 1) - Please choose one

The one that you get from bank when you open your checking account is _____.

▶ **Debit card**

▶ Credit card

▶ Store value card

▶ Customer card

Question No: 39 (Marks: 1) - Please choose one

Wealth can be held in number of other forms but we use to hold money because of which one of the following reason?

▶ It is the only mode of payment

▶ It is an asset

▶ **It is most liquid**

▶ It is the only store of value

Reference:

Page 7

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Question No: 40 (Marks: 1) - Please choose one

Which of the following are used to monitor and stabilize the economy?

▶ Stock exchanges

▶ Commercial Banks

▶ **Central Banks**

▶ Financial institutions

Reference:

Page 2

MIDTERM EXAMINATION

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Spring 2009

MGT411- Money & Banking (Session - 4)

Solved By

Hafiz Salman Majeed <Hafiz.Salman.Majeed@gmail.com>

Time: 60 min

Marks: 50

Question No: 1 (Marks: 1) - Please choose one

If more students didn't pay back their student loans then which of the following statement would imply?

- ▶ Student loans may become more difficult to obtain
- ▶ **The interest rate on student loans would increase**
- ▶ Fewer people may attend college
- ▶ All of the given options

Question No: 2 (Marks: 1) - Please choose one

The reason for the government to get involved in the financial system is to:

- ▶ Protect investors
- ▶ Ensure the stability of the financial system
- ▶ Protect bank customers from monopolistic exploitation
- ▶ **All of the given options**

Reference:

Page92

Question No: 3 (Marks: 1) - Please choose one

Banks usually offer lower rates of interest to people willing to keep their funds in the bank for a short time because:

- ▶ Banks really do not want these people as customers
- ▶ Banks really do not want a lot of people coming into the bank
- ▶ **Banks realize that time has value**
- ▶ All of the given options

Question No: 4 (Marks: 1) - Please choose one

For the valuation of goods and for quoting prices under the barter system the general formula which is used for n goods is _____.

- ▶ $n(n+1)/2$
- ▶ $n(n-1)*2$
- ▶ **$n(n-1)/2$**
- ▶ $(n-1)/2$

Reference: page 7

Note: Solve these papers by yourself

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Under barter the general formula for n goods, we will have $n(n-1)/2$ prices

Question No: 5 (Marks: 1) - Please choose one

Which of the following is the final mode of payment?

► **Money**

- ATM
- Cheque
- Yet to discover

Question No: 6 (Marks: 1) - Please choose one

When a buyer buys a pair of shoes, with credit card. Which of the following statement describes the payment procedure in this situation?

► **Buyer pays that amount to shopkeeper at the spot with the help of credit card**

- Buyer's bank makes payment to shopkeeper later on
- Buyer's bank makes payment to shopkeeper's bank immediately
- Shopkeeper's bank makes payment to shopkeeper

Question No: 7 (Marks: 1) - Please choose one

_____ includes currency and various deposit accounts on which people can write cheque.

► **M_1**

- M_2
- M_3
- M_4

Reference: page 10

M_1 is the narrowest definition of money and includes only currency and various deposit accounts on which people can write Cheques.

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Question No: 8 (Marks: 1) - Please choose one

Economists study the link between money and inflation because:

- Research shows that there is some inverse correlation between the supply of money and inflation
- Economists believe that inflation in the 3-5% range is healthy for an economy
- **As prices increase money becomes more valuable(Doubted)**
- Research shows that there is some direct correlation between the supply of money and inflation

Question No: 9 (Marks: 1) - Please choose one

The financial intermediary that obtains funds largely through premium payments and uses those funds to purchase corporate bonds and mortgages is:

- Credit unions
- Mutual funds
- **Life insurance companies**

Note: Solve these papers by yourself
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- ▶ Pension funds

Reference:

<http://sy.zlgc.org/Upload/20070920110356750.doc>

Question#1

Handouts page 89

Summary of the financial industry structure

Question No: 10 (Marks: 1) - Please choose one

Which of the following is NOT a non depository institution?

- ▶ House Building Finance Corporation
- ▶ Zarai Tarkaytee Bank LTD
- ▶ **United Bank LTD**
- ▶ Khushali Bank

Reference:

Page 88

Question No: 11 (Marks: 1) - Please choose one

What will be the effect on the present value if we double the future value of the payment?

- ▶ It will decrease the value by one-half
- ▶ It will increase the value by one-half
- ▶ **It will equally increase the value i.e. doubles the value**
- ▶ It will have no effect on the value

Reference: page 25

Doubling the future value of the payment (without changing time of the payment or interest rate), doubles the present value

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Question No: 12 (Marks: 1) - Please choose one

If a bond sells at a premium, where price exceeds face value, then we would expect to see:

- ▶ Market interest rate the same as the coupon rate
- ▶ Market interest rates above the coupon rate
- ▶ **Market interest rates below the coupon rate**
- ▶ None of the given options

Question No: 13 (Marks: 1) - Please choose one

The real interest rate is:

- ▶ **The nominal rate plus the expected inflation rate**
- ▶ The nominal rate minus the expected inflation rate
- ▶ The nominal interest rate divided by the Consumer Price Index
- ▶ The product of the nominal rate and the Consumer Price Index

Note: Solve these papers by yourself

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Reference: page 30

The Fisher equation tells us that the nominal interest rate is equal to the real interest rate plus the expected rate of inflation

Question No: 14 (Marks: 1) - Please choose one

Which of the following provides the greatest incentive to borrow?

- ▶ A high real interest rate
- ▶ **A low real interest rate**
- ▶ A high nominal interest rate
- ▶ A low nominal interest rate

Question No: 15 (Marks: 1) - Please choose one

What will be the result of the difference of real and nominal interest rate?

- ▶ The cost of borrowing
- ▶ **The effect of inflation**
- ▶ The price of bonds
- ▶ The return of bonds

Question No: 16 (Marks: 1) - Please choose one

Suppose there are two investments, A and B, investment A has low standard deviation where as investment B has high standard deviation. What would you think that most people will choose?

- ▶ Investment A
- ▶ Investment B
- ▶ Indifference between them
- ▶ **Insufficient information to decide**

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Question No: 17 (Marks: 1) - Please choose one

What is true relationship between return and risk?

- ▶ Lower the risk greater the return
- ▶ **Greater the risk greater the return**
- ▶ Greater the risk no change in return
- ▶ No relationship between them

Question No: 18 (Marks: 1) - Please choose one

A risk-averse investor will:

- ▶ Always prefer an investment with a lower expected return
- ▶ **Always prefer an investment with a certain return to one with the same expected return but any amount of uncertainty**
- ▶ Always require a certain return
- ▶ Always focus exclusively on the expected return

Reference:

Note: Solve these papers by yourself
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Page 35

Question No: 19 (Marks: 1) - Please choose one

The risk premium for an investment:

- ▶ **Increases with risk**
- ▶ Is a fixed amount added to the risk free return
- ▶ Is negative for U.S. Treasury Securities
- ▶ Is negative for risk averse investors

Reference:

Page 35

Question No: 20 (Marks: 1) - Please choose one

The return on holding a bond till its maturity is called:

- ▶ Coupon rate
- ▶ **Yield to maturity**
- ▶ Current yield
- ▶ Fixed return

Reference: page 42

The most useful measure of the return on holding a bond is called the yield to maturity (YTM)

Question No: 21 (Marks: 1) - Please choose one

The price of a 6-month Treasury Bill is _____ the price of a 1-year Treasury Bill.

- ▶ **Lower than**
- ▶ Higher than
- ▶ Equal to
- ▶ None of the given options

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Question No: 22 (Marks: 1) - Please choose one

Current yield is equal to which of the following?

- ▶ Price paid / yearly coupon payment
- ▶ Price paid *yearly coupon payment
- ▶ Yearly coupon payment / face value of bond
- ▶ **Yearly coupon payment / price paid**

Reference:

Page 43

Question No: 23 (Marks: 1) - Please choose one

Beside default risk which one if the following factor affects the return on bond?

- ▶ **Taxes**
- ▶ Monetary policy
- ▶ Junk bonds
- ▶ Debt

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Question No: 24 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

▶ ***Because only interest income they receive from bond is taxable***

- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ Because bond holders are taxpayers
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

Reference: page 55

Bondholders must pay income tax on the interest income they receive from privately issued bonds (taxable bonds), but government bonds are treated differently

Question No: 25 (Marks: 1) - Please choose one

The slope of the yield curve seems to predict the performance of the economy with:

- ▶ Usually 3 months lag
- ▶ Usually two years lag
- ▶ Usually within few weeks

▶ ***Usually one year lag***

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Question No: 26 (Marks: 1) - Please choose one

The expectations theory of the term structure assumes:

▶ ***Buyers of bonds consider bonds of different maturities to be perfect substitutes***

- ▶ Markets for different maturity bonds are completely separate
- ▶ Buyers of bonds prefer bonds with shorter maturities
- ▶ Buyers of bonds prefer bonds with longer maturities

Reference:

<http://sy.zlge.org/Upload/20070920110410765.doc>

Question#8

Question No: 27 (Marks: 1) - Please choose one

The risk premium of a bond will:

- ▶ Higher for investment-grade bonds than for high-yield bonds
- ▶ Positive but small if the risk of default is zero
- ▶ Decrease when the default risk rises

▶ ***Increase when the risk of default rises***

Question No: 28 (Marks: 1) - Please choose one

The Segmented Markets Theory of term structure suggests that:

▶ ***Investors have strong preferences for bonds of a particular maturity***

▶ Investors have no preference for short-term bonds over long-term bonds, or vice versa

▶ Interest rates on long-term bonds strongly influence the demand for short-term bonds

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- Bonds of different maturities are perfect substitutes for each other

Reference:

http://wps.aw.com/aw_mishkin_econmbfm_8/46/12000/3072105.cw/content/index.htm

Question#15

Question No: 29 (Marks: 1) - Please choose one

You start with a \$1000 portfolio; it loses 40% over the next year, the following year it gains 50% in value; At the end of two years the worth of your portfolio will be:

► **\$900**

► \$600

► \$1000

► \$1100

Reference:

1st year loss = $1000 \times 40/100 = 400$

= $1000 - 400$

= 600

2nd year gain = $600 \times 50/100 = 300$

= $600 + 300 = 900$

Question No: 30 (Marks: 1) - Please choose one

If we ignore risk, the dividend discount model says the fundamental price of a stock is simply:

► The current dividend divided by the interest rate less the dividend growth rate

► The annual growth rate of the dividend minus the interest rate divided by the current dividend

► **The current dividend divided by the interest rate plus the dividend growth rate**

► The current dividend divided by the dividend growth rate less the interest rate

Reference:

Page 62

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Question No: 31 (Marks: 1) - Please choose one

The theory of efficient market states that prices of financial instruments reflect:

► **All available information**

► Some of the information

► No information

► Imperfect information

Reference:

The basis for the theory of efficient markets is the notion that the prices of all financial instruments, including stocks, reflect all available information

Question No: 32 (Marks: 1) - Please choose one

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Composed & Solved
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Consider a game which involves the rolling of a fair pair of dice. The winner is the individual who calls the outcome correctly, the loser obviously called the wrong outcome. The Theory of Efficient Markets would say:

- ▶ Part of the key information is to know the outcomes of the previous tosses
- ▶ Part of the key information is to know the skill of the person you are playing against
- ▶ The key information is to know the probabilities of the outcome and the expected payoff

▶ **All of the given options**

Reference:

The basis for the theory of efficient markets is the notion that the prices of all financial instruments, including stocks, reflect all available information

Question No: 33 (Marks: 1) - Please choose one

Without the ability of financial intermediaries to pool the resources of small savers:

▶ **Borrowers needing large amounts of money would find it less costly to obtain the funds**

- ▶ The economy would likely grow faster
- ▶ People would likely save more
- ▶ The risk associated with lending would increase

Question No: 34 (Marks: 1) - Please choose one

If information in a financial market is asymmetric, this means:

- ▶ Borrowers and lenders have the same information
- ▶ Lenders lack any information
- ▶ Borrowers and lenders have perfect information
- ▶ **Borrowers would have more information than lenders**

Reference: page 72

Issuers of financial instruments – borrowers who want to issue bonds and firms that want to issue stock – know much more about their business prospects and their willingness to work than potential lenders or investors

Question No: 35 (Marks: 1) - Please choose one

Which of the following has created an opportunity for small investors to participate in economic activity?

- ▶ **Mutual funds**
- ▶ Small corporations
- ▶ Stock brokers
- ▶ Small investors cannot take part in economic activity

Reference:

Page 2

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Question No: 36 (Marks: 1) - Please choose one

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_____ evolved from coffee houses to trading places to electronic networks.

- ▶ Financial companies
- ▶ **Financial markets**
- ▶ Financial institutions
- ▶ Financial intermediaries

Reference:

Page 2

Question No: 37 (Marks: 1) - Please choose one

Mr. Ghazanfar obtains a home improvement loan from Allied Bank. This loan is:

- ▶ Mr. Ghazanfar's asset and the bank's liability
- ▶ **Mr. Ghazanfar's asset, but the liability belongs to the bank's depositors**
- ▶ Mr. Ghazanfar's liability and an asset for the bank
- ▶ Both Mr. Ghazanfar's and bank's liability

Reference: page 14

If someone borrows money to buy a car, the car becomes his or her asset and the loan a liability

Question No: 38 (Marks: 1) - Please choose one

Spreading involves:

- ▶ Finding assets whose returns are perfectly negatively correlated
- ▶ Building a portfolio of assets whose returns move together
- ▶ Investing in bonds and avoiding stocks during bad times
- ▶ **Adding assets to a portfolio that moves independently**

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Question No: 39 (Marks: 1) - Please choose one

Which of the following are without maturity dates?

- ▶ Zero coupon bonds
- ▶ Coupon securities
- ▶ **Consols**
- ▶ Preferred Bonds

Reference: page 40

Consols

☐ Make periodic interest payments forever, never repaying the principal that was borrowed.

Question No: 40 (Marks: 1) - Please choose one

Zero-Coupon Bonds are pure discount bonds since they sell at a price _____.

- ▶ Equal their face value
- ▶ **Below their face value**
- ▶ Above their face value
- ▶ None of the given options

Reference: page 40

Zero-Coupon Bonds

☐ These are pure discount bonds since they sell at a price below their face value

Note: Solve these papers by yourself
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